

Easy credit from amply available bank notes was there greatly valued. In 1810, under attack for its financial rigor, the charter of the Bank was not renewed.

With the stimulus of the War of 1812 and the need to finance it by extensive public borrowing, prices rose. State banks, relieved of the burden of the forced redemption, were now chartered with abandon; every location large enough to have “a church, a tavern, or a blacksmith shop was deemed a suitable place for setting up a bank.” These banks issued notes, and other, more surprising enterprises, imitating the banks, did likewise. “Even barbers and bartenders competed with the banks in this respect....” The assets back of these notes were, it need hardly be said, minuscule and evanescent. Leverage once again.

In the years following the end of the war, land and other property values throughout the country rose wonderfully; as is always the case, the rising values attracted those who were persuaded that there would be yet further increases and from this persuasion ensured that there would be yet greater increases to come. The Second Bank of the United States was chartered in 1816—the feeling that such higher regulatory authority was needed had persisted. However, initially it added to the boom; the Bank involved itself enthusiastically in real estate loans. Then, in 1819, the boom collapsed. Prices and property values fell drastically; loans were foreclosed; the number of bankruptcies went up. This was the first of the speculative episodes with resulting collapse that were to characterize American economic and financial history for the rest of the century. The word *panic* as it pertained to money entered the language. Later, in eager search of milder, less alarming reference, *crisis*, *depression*, *recession*, and now, of course, *growth adjustment* came successively to denote the economic aftermath.

It seems likely, although no one knows for sure, that the boom of the second decade of the last century came to an end in 1819 in the normal course of the speculative episode. But the Second Bank, which, in keeping with its regulatory purpose, had begun calling in the notes for payment, was intuitively and sharply blamed. As always, the need was to find a cause apart from the speculation itself. In consequence, President Andrew Jackson rallied public opinion against such institutions, an effort in